

The Coca-Cola Company

4Q23 Earnings Prep

We are generally in line with the Street for 4Q top line and profitability (rounding means the gap between our EPS estimate and consensus is less than 0.5c).

We think KO is widely expected to fare better from a volume perspective than PEP (as has been the case YTD too), but we expect a fair degree of attention will be directed towards KO's perspective on the consumer environment across key markets as well. For our part, we remain confident in the System's ability to drive growth towards the high end of KO's long-term algorithm, and we anticipate the mix of volumes vs. price/mix moving closer to balance in 2024. We also expect that there are relatively limited incremental capital requirements to sustain this growth ahead, underpinning a compelling margin trajectory and return profile ([Proof is in the P&L](#), 01/18/24).

Current Consensus Expectations

---- 4Q23 ----

- 4Q23 EPS: \$0.49 [\$0.45-\$0.52 range, Barclays = \$0.48]
- 4Q23 sales growth: +4.5% [+2.0% to +7.2% range, Barclays = +4.3%, +9.2% organic]

---- 2023 ----

- 2023 EPS: \$2.68 [\$2.48-\$2.82 range, Barclays = \$2.68]
- 2023 sales growth: +5.7% [+5.1% to +6.3% range, Barclays = +5.6%, +10.8% organic]

---- 2024 ----

- 2024 EPS: \$2.81 [\$2.69-\$3.05 range, Barclays = \$2.82]
- 2024 sales growth: +3.4% [Barclays = +4.1%, +6.6% organic]

Source: Consensus figures from Bloomberg

Our Thoughts

This time last year, we were looking for +LSD EPS growth in 2023 with currency serving as a -MSD headwind. But as we close out 2023, we now believe KO is on track to deliver profit growth near the high end of its +7-8% guidance (BARCe +7.9%). To be sure, our estimated FX drag for the year is ~2 points lighter than where we modeled at the start of the year, but KO has proven yet again the efficacy of its all-weather strategy, all in the midst of a still quite volatile macro backdrop. Looking into 2024, we see more room to the upside here and suspect the company may guide in a way that leaves room for beats & raises over the course of the year as the enterprise-wide mentality continues to accrue wins in the market.

For 4Q, we look for total company organic sales to be up +9.2% with just over half of the growth attributable to continued favorable price/mix (albeit lighter QoQ). Recall, there were ~2 points

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| CORE

KO	OVERWEIGHT
U.S. CHPC & Beverages	NEUTRAL
Price Target	USD 66.00
Price (09-Feb-24)	USD 59.56
Potential Upside/Downside	+10.8%

U.S. CHPC & Beverages

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of carryover pricing still left in 3Q that will not continue in 4Q. Back in mid-January, we tempered concentrate expectations in several regions including EMEA (concentrate sales tempered -200 bps, OSG at +17.5%), Latin America (-100 bps, +14.5%), and Asia Pacific (-100 bps, +6%). Adding in a moderately improved currency pressure picture (drag softened by 25 bps to -3.9%) and a -100 bps drag from refranchising, we look for net sales to grow +4.3%. We forecast gross margin expansion of +40 bps YoY driven by underlying improvement (though slower sequentially given the end of carryover pricing benefits), which combined with opex up 50 bps YoY (to 34.2%) generates an operating margin of 22.7% for the quarter. We reiterate our 4Q23E EPS of \$0.48 and look for 2023E EPS of \$2.68, in line with consensus.

What Matters Most To Us

- Perspective on more recent consumer trends in developed vs. emerging markets
- Progress on US focus areas
- Latest perspective on FX for 2024

Guidance Recap

---- 4Q23 ----

- Currency: 4% headwind to revenues; 8% headwind to EPS (based on rates as of October and inclusive of hedged positions)
- Structural: 1% headwind to comparable net revenues

---- 2023 ----

- Organic revenue growth: +10-11%
- EPS growth: +7-8% (currency neutral +13-14%)
- Currency: 4% headwind to revenues and 6% headwind to earnings (both including the impact of hedged positions)
- Structural: 1% headwind to comparable net revenues; "slight" headwind to EPS
- Inflation: +MSD headwind on COGS based on October rates and with hedging
- Tax rate: ~19.0%, not including any impact of ongoing tax litigation
- FCF: \$9.5 billion, not including any potential payments related to ongoing tax litigation
- OCF: \$11.4 billion
- Capex: \$1.9 billion

---- Long-Term Guidance ----

- Organic revenue growth +4-6%
- Comparable, FX-neutral operating income growth 6% to 8%
- Comparable, FX-neutral EPS growth +7-9%
- Adjusted free cash flow conversion 90% to 95%
- CapEx at 4.5% to 5% of net revenue
- Target of 2 to 2.5x net debt leverage

KO 4Q23 Earnings Call Details

Tuesday, February 13th @ 8:30 a.m. ET - US: 888-415-4465; International: 646-960-0140;
Passcode: COKE IR

As always, please feel free to call with any questions or comments.

Best,

Lauren

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The Coca-Cola Company (KO, 09-Feb-2024, USD 59.56), Overweight/Neutral, CD/CE/E/J/K/L/M/N

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U.S. CHPC & Beverages

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Constellation Brands (STZ)	Coty Inc. (COTY)	Duckhorn Portfolio Inc (NAPA)

Edgewell Personal Care Company (EPC)	Energizer Holdings, Inc (ENR)	International Flavors & Fragrances (IFF)
Keurig Dr Pepper (KDP)	Kimberly-Clark Corp. (KMB)	Molson Coors Beverage Company (TAP)
Newell Brands Inc. (NWL)	ODDITY Tech Ltd. (ODD)	Olaplex Holdings, Inc. (OLPX)
PepsiCo Inc. (PEP)	Procter & Gamble (PG)	Reynolds Consumer Products (REYN)
The Coca-Cola Company (KO)	The Estée Lauder Companies (EL)	

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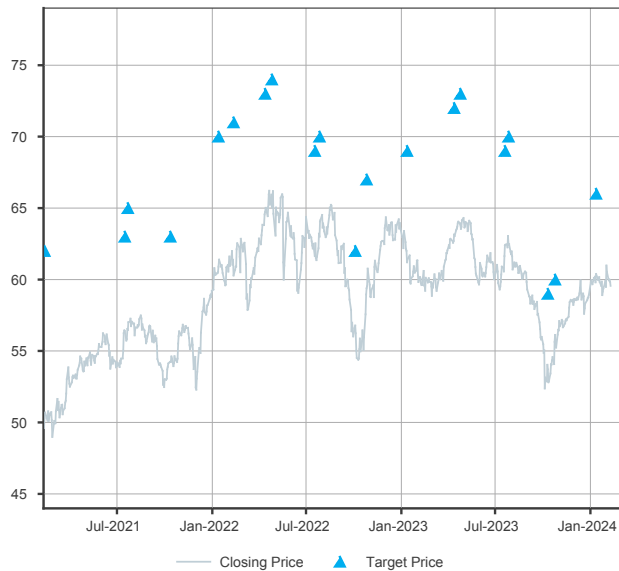
Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 59.56** (09-Feb-2024)

Rating and Price Target Chart - USD (as of 09-Feb-2024)

Currency=USD



Source: IDC, Barclays Research

[Link to Barclays Live for interactive charting](#)

Publication Date	Closing Price*	Rating	Adjusted Price Target
12-Jan-2024	59.81		66.00
25-Oct-2023	55.64		60.00
11-Oct-2023	54.03		59.00
27-Jul-2023	63.05		70.00
20-Jul-2023	61.64		69.00
25-Apr-2023	63.95		73.00
13-Apr-2023	62.69		72.00
12-Jan-2023	61.21		69.00
26-Oct-2022	58.95		67.00
04-Oct-2022	56.78		62.00
27-Jul-2022	63.21		70.00
18-Jul-2022	61.65		69.00
26-Apr-2022	65.94		74.00
13-Apr-2022	64.73		73.00
11-Feb-2022	61.38		71.00
13-Jan-2022	60.90		70.00
12-Oct-2021	54.23		63.00
22-Jul-2021	56.47		65.00
16-Jul-2021	56.40		63.00

On 12-Feb-2021, prior to any intra-day change that may have been published, the rating for this security was Overweight, and the adjusted price target was 62.00.

Source: Bloomberg, Barclays Research

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